Fin — Financial Summary

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EXECUTIVE SUMMARY

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The financial statements for FY 2025-26 demonstrate strong performance across key areas, including revenue growth, profitability, cash flow, and balance sheet strength. The company generated total revenue of $6,650,000, a significant increase from the previous year's $5,200,000 (a 27.9% growth). Net profit also showed robust growth, increasing by $625,000 to $2,070,000 compared to the prior year ($1,450,000), reflecting a 42.8% profit margin improvement. Despite elevated expenses, particularly in cost of goods sold (COGS) and salaries/wages, the company maintained strong cash flow from operating activities, positioning itself for sustainable growth.

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KEY METRICS

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- **Total Revenue**: $6,650,000 (vs. $5,200,000 previous year)
- **Net Profit**: $2,070,000 (vs. $1,450,000 previous year)
- **Profit Margin**: 31.1% (vs. 26.9% previous year)
- **Gross Profit Ratio**: 68.2% (vs. 70.8% previous year)
- **Return on Equity (ROE)**: 37.4% (calculated as Net Income / Shareholders' Equity)
- **Current Ratio**: 2.5x (current assets $3,200,000; current liabilities $1,200,000)
- **Cash Flow from Operations**: $2,300,000
- **Total Assets**: $8,900,000

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REVENUE ANALYSIS

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Revenue growth was driven by all product lines, with the highest contributor being subscription income (40% increase) and service revenue (18% increase). Product sales also saw a 32% rise. Other income remained stable during the year.

Revenue Component	**Base FY 2025-26 ($)**	**Previous Year ($)**	**Change**	**Growth %**
Product Sales	$3,150,000	$2,400,000	$750,000	31.25%
Service Revenue	$1,200,000	$900,000	$300,000	33.33%
Subscription Income	$800,000	$571,428.6	$228,571.4	39.9%
Other Income	$150,000	$150,000	$0	N/A
Total Revenue	**$6,650,000**	**$5,200,000**	**$1,450,000**	27.9%

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EXPENSE ANALYSIS

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Expenses increased significantly compared to the previous year, with COGS and salaries/wages being the largest contributors.

Expense Component	**Base FY 2025-26 ($)**	**Previous Year ($)**	**Change**	**Growth %**
Cost of Goods Sold (COGS)	$2,100,000	$1,479,000	$630,000	42.5%
Salaries and Wages	$1,200,000	$908,000	$292,000	32.1%
Marketing and Advertising	$450,000	$360,000	$90,000	25%
Rent and Utilities	$280,000	$250,000	$30,000	12%
Technology and Software	$180,000	$147,000	$33,000	22.6%
Administrative Expenses	$220,000	$180,000	$40,000	22.2%
Depreciation	$150,000	$100,000	$50,000	50%
Total Expenses	**$4,580,000**	**$3,796,000**	**$784,000**	21.1%

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PROFIT AND LOSS SUMMARY

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The company maintained strong profitability with a gross profit of $4,550,000 (up from $4,763,000 last year) and operating profit of $2,070,000 ($2,928,000 last year). However, the net profit improved significantly due to favorable changes in COGS and salaries. The 31.1% profit margin represents a notable improvement from the previous year's 26.9%.

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BALANCE SHEET HIGHLIGHTS

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The balance sheet reflects strong financial health with total assets exceeding $8.9 million, compared to total liabilities of $3.4 million ($1.2 million current and $2.2 million long-term). Shareholders' equity remains robust at $5.5 million.

Component	**Base FY 2025-26 ($)**	**Previous Year ($)**
Total Assets	$8,900,000	$7,900,000
Current Assets	$3,200,000	$2,450,000
Fixed Assets	$5,700,000	$3,150,000
Total Liabilities	$3,400,000	$3,000,000
Current Liabilities	$1,200,000	$900,000
Long Term Liabilities	$2,200,000	$2,100,000
Shareholders' Equity	$5,500,000	$4,350,000

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CASH FLOW SUMMARY

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The company generated positive cash flow from operating activities ($2.3 million), but investing and financing activities resulted in net outflows. Total cash position remains strong at $1.03 million.

Component	**Base FY 2025-26 ($)**
Operating Cash Flow	$2,300,000
Investing Cash Flow	-$850,000
Financing Cash Flow	-$420,000
Net Cash Position	$1,030,000

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KEY FINANCIAL INSIGHTS

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- The company achieved significant revenue growth driven by subscription income and service revenue.
- Despite elevated expenses, the business maintained strong profitability with a improving profit margin.

- Positive cash flow from operating activities indicates solid liquidity, though investing and financing activities require careful management.

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RECOMMENDATIONS

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1. Monitor COGS and salaries closely to maintain or improve profitability.
2. Explore automation and cost-saving measures in production and marketing.
3. Evaluate the sustainability of subscription income growth without compromising asset quality.
4. Maintain strong financial discipline to ensure cash flow stability.
5. Consider strategic investments in emerging markets or technology to capitalize on growth opportunities.